Situation 1

Listed Company 1 plc ("Co 1") has been an audit client of your audit firm for the last three years. You are performing audit planning procedures and are considering the level of overall materiality to be used at planning.

Co 1 is a fashion retailer specialising in the sale of affordable designer bags. The company has recently entered the FTSE 250.

Management account extracts and prior year's results:

	6 m to 30 Jun X4 £000	Year ended 31 Dec X3 £000	Year ended 31 Dec X2 £000
Revenue	485,000	701,000	766,000
Profit before income taxes	143,000	212,000	246,000
Net assets	1,100,000	1,020,000	980,000

Situation 2

You are performing planning procedures for the audit of a branch of a national government healthcare provider ("Health co"). Health co provides services based on the budget they are awarded by the government.

This is the first year in which your audit firm has undertaken the audit of this client. From your discussions with management and review of the prior year financial statements, you know that there was a non-recurring cost in 20X3 of £50k for the settlement of a lawsuit. This was an isolated incident.

You have obtained the prior year financial results on which to base the level of overall materiality to be used at planning:

	Year ended 30 Nov X3 £000
Revenue	790
Operating expenses	630
Net assets	1,010

Situation 3

Your audit partner has asked you to propose the materiality level to use for the audit of Investment Trust 1 ("IT 1"), an investment trust company. IT 1 has been an audit client of your audit firm for the last four years, and there have not been any material misstatements identified in the past.

As there are no current year results available yet, you have been considering prior years results when creating your proposal:

	Year ended 31 Dec X3 £000	Year ended 31 Dec X2 £000	Year ended 31 Dec X1 £000
Revenue	1,350	2,230	980
Net assets	1,700	1,720	1,670